

Jurisdictional Issues in Cyberspace – Summary (Justice S. Muralidhar, IJLT Vol.6, 2010)

Introduction • Internet's borderless nature challenges traditional territorial jurisdiction. • Focus on Intellectual Property (IP), especially trademarks, in online commercial transactions. • IP rights are territorial; but online goods/services cross borders instantly.

Challenges • Traditional tests (territorial, pecuniary, subject matter) inadequate for cyberspace. • Example: MP3 uploaded in one country, hosted in another, sold in third, downloaded in fourth – multiple jurisdictions.

Localisation & Tests • Courts must “localise” transactions before asserting jurisdiction. • *USA*: – Minimum Contacts Test (International Shoe): defendant must purposefully avail forum benefits. – Purposeful Availment Test (Hanson, Burger King). – Zippo Sliding Scale Test: passive vs. interactive websites. – Effects Test (Calder): harm/effects felt in forum state. – Targeting Test (Schultz/Geist): activity must intend effects in asserting state. • *Canada*: “Real and substantial connection” test. • *UK*: Mere accessibility not “use”; intention & active steps matter (1-800 Flowers). • *Australia*: Effects test applied in Dow Jones v. Gutnick. • *India*: Casio, India TV, Banyan Tree – Delhi HC developing standards.

Enforcement Problems • Hard to enforce foreign judgments; reciprocity matters. • TRIPS not a uniform law; WIPO's UDRP & arbitration used for domain disputes.

Fragmentation of Internet • Vertical: States assert control for local values (libel, hate speech). • Horizontal: Private dispute resolution (eBay) bypassing state law. • Internet risks being “carved up” instead of borderless.

Universal Permission vs. Prohibition • Wendy Adams: Default rules – location of website = permission; location of user = prohibition. • Universal prohibition reduces internet efficiency (“Balkanisation”).

Indian Perspective • Indian courts rely on foreign precedents until indigenous law develops. • Tests for IP protection may not apply automatically to torts or crimes.

Conclusion • Lack of territorial boundaries creates unprecedented legal complexity. • Technology outpaces law; jurisdictional certainty elusive. • Harmonised international approach needed but difficult. • Courts currently blend Minimum Contacts, Effects, Targeting tests plus private mechanisms.

Key Cases • International Shoe, Hanson v. Denckla, Burger King, Zippo, Calder v. Jones, Yahoo! case, Toys “R” Us v. Step Two. • Casio India v. Ashita Tele Systems, India TV v. India Broadcast Live, Banyan Tree Holding v. Murali Krishna Reddy.